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# Year end trust resolution

[T90-010]

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|                                       |             |
|---------------------------------------|-------------|
| THE                                   | TRUST       |
| Resolutions of the trustees made this | day of 20XX |

We being the trustees of the above trust RESOLVE that:

1. The Financial Statements as presented for the year ended 20XX as prepared by [name of accountant] be approved and adopted.
2. Any financial transaction disclosed in the Financial Statements that has not previously been formally approved, be approved.
3. The [IR6](#) income tax return for the Trust for the ended 31 March 20XX, as prepared by [name of accountant] be approved and authorise [name of trustee] to sign the [IR6](#) on behalf of the trustees.
4. After [taking investment advice from/reviewing the terms of the trust deed/considering the settlor's memorandum of wishes dated ], the Trust's investments will [remain unchanged until the next meeting of the trustees on 20XX/be changed as follows:].
5. After considering the interests of each of the beneficiaries that the trust income for the year ended 31 March 20XX be allocated as follows:
 

[list for each beneficiary: name, gross income, resident withholding tax and other tax credits distributed, net income]

[record how the distribution is made, eg by cash or cheque deposited into each beneficiary's bank account, by credit to current account].
6. The net income of the trust after distributions to beneficiaries be added to the capital of the trust.

.....  
Trustee

.....  
Trustee

.....  
Trustee

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Last reviewed on 30 September 2014

## Resolution approving distribution of beneficiary income

[T190-050]

[Click to open document in a browser](#)

THE TRUST  
Resolutions of the trustees made this day of 20XX

### Background

This resolution records and approves the distribution of beneficiary income during the year ended 20XX in accordance with Trust Deed dated [date of settlement].

### We being the trustees of the above trust RESOLVE that:

1. After considering the needs of all beneficiaries of the Trust, we approve the following distributions and confirm that the amounts have been vested in such beneficiaries during the year, or paid or credited to such beneficiaries with effect on or before [the date which is six months after the end of the income year of the trust:]

[set out a formula under which the distribution will be calculated, eg all interest income derived. Exact amounts are not required].

2. The distributions set out in clause (1) are made from Trust income derived during the year ended 20XX

.....  
Trustee

.....  
Trustee

.....  
Trustee

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Last reviewed on 30 September 2014

# Deed of gift

[¶90-100]

[Click to open document in a browser](#)

DEED dated

20XX

PARTIES

[Name] (the Donor)

[Trustees' names] (the Donees)

INTRODUCTION

- A. The Donees are the trustees of a trust known as [Trust name] (the Trust) which was created by deed dated [date of settlement].
- B. The Donees owe the Donor the sum of \$[amount of debt] (the Debt), under a Deed of Acknowledgement of Debt dated [date of deed] on account of an advance made to the Donees by the Donor.
- C. The Donor wishes to release the Donees from their liability to repay the sum of \$[amount of gift] and reduce the Debt.

OPERATIVE PROVISIONS

1. In consideration of the Donor's natural love and affection for the primary beneficiaries of the Trust, the Donor releases the Donees from all liability to repay the sum of \$[amount of gift] being part of the Debt.
2. The intent of the Donor is that the amount owing by the Donees to the Donor under the Deed is now the sum of \$[amount of debt after gift].
3. The Donees accept this partial forgiveness of the Debt.

SIGNED AS A DEED

SIGNED by [Name] as Donor )  
in the presence of: ).....

.....  
Signature of witness

.....  
Name of witness

.....  
Occupation of witness

.....  
City/town of residence of witness

SIGNED by [Name] as Donee )  
in the presence of: ).....

.....  
Signature of witness

.....  
Name of witness

.....  
Occupation of witness

.....  
City/town of residence of witness

[repeat for each trustee]

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Last reviewed on 30 September 2014

## Deed of acknowledgment of debt

[¶90-150]

[Click to open document in a browser](#)

DEED dated 20XX

PARTIES

[Name] (The Lender)

[Trustees' names] (The Borrowers)

INTRODUCTION

- A. The Borrowers are the present trustees of the trust known as [Trust name] (the Trust) which was created by deed dated [date of settlement] (The Trust Deed).
- B. The Lender has advanced the sum of \$ [amount of advance] to the Borrowers.
- C. The parties wish to record the terms and conditions of the advance.

OPERATIVE PROVISIONS

1. The Borrowers acknowledge that they are indebted to the Lender in the sum of \$[amount of advance] (the Advance).
2. The Advance shall remain outstanding as a debt, ie payable by the Borrowers to the Lender upon demand.
3. The Lender may demand that the Advance be repaid by notice in writing signed by the Lender, served upon the Borrowers either personally or by posting the same addressed to them at last known place of abode in New Zealand.
4. Any demand made under this deed may be made only by the Lender or the Lender's personal representatives upon the Lender's death. The ability to make demand shall not be transferable to any other person.
5. [A Marshall clause may be inserted here, see [¶90-200](#)].
6. The Advance shall include any further advances that may be made by the Lender to the Borrowers after the date of this deed. The words "further advances" mean such further sum or sums advanced or credited or other accommodation provided by the Lender to, or at the request of, the Borrowers.
7. The Borrowers have entered into this deed as trustees of the Trust so as to bind the trustees from time to time of the Trust. The liability of the Borrowers to the Lender under this deed shall be limited to the capital and assets and income of the Trust coming into the hands of the trustees in the proper course of the administration of the Trust and the Borrowers shall not be personally liable. Those funds shall not include any capital or income of the Trust that has been transferred or paid to, or appropriated or applied for the benefit of, any person in accordance with the Trust Deed.

SIGNED AS A DEED

SIGNED by [Name] as Lender )

in the presence of: ).....

.....

Signature of witness

.....

Name of witness

.....

Occupation of witness

.....

City/town of residence of witness

SIGNED by [Name] as Borrower

)

in the presence of:

).....

.....

Signature of witness

.....

Name of witness

.....

Occupation of witness

.....

City/town of residence of witness

[repeat for each trustee]

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Last reviewed on 30 September 2014

## Marshall Clause

[¶90-200]

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1. The debt shall be payable by the Borrower to the Lender on demand.
2. The Lender may at any time demand that the Borrower repay the debt in whole or in part.
3. For so long as any part of the debt remains unpaid, the Borrower shall pay to the Lender interest on the debt from time to time outstanding during the preceding 12 months, calculated on a daily basis at the rate of x% pa (or such other rate as the parties may from time to time agree). The interest will be payable on 31 March in each year, unless cl 5 applies.
4. Any demand for interest ("the Notice"):
  - # must be made in writing by facsimile transmission, e-mail or letter and signed by the Lender
  - # must be sent to any one of the Borrowers at the physical or e-mail address or facsimile number of that Borrower
  - # shall not be effective until received by the Borrower, or
  - # [a further clause may be added here setting out when a demand is deemed to be received].
5. The Notice must be made no later than 1 March in each year of the Notice. If demand is not made by this date, the Borrower shall not be liable to pay the Lender any interest in respect of the 12 months ending on 31 March in that year.

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Last reviewed on 30 September 2014

## FBT — Private Use Restriction Letter

[¶90-300]

[Click to open document in a browser](#)

[date]

Audis on Anglesey Ltd  
563 Goodyear Street  
WELLINGTON

### Vehicle private use restriction

Dear James

As you know you've been provided with the Audi A4 station-wagon, registration number CFK917, as required in your role with us. However, this vehicle is for business use and isn't available for private use during the week or the weekend, unless you:

- are travelling between home and work, or
- have any incidental travel while using the station-wagon on Audis on Anglesey Ltd business.

We have to ask you to do this for fringe benefit tax reasons. We will also conduct checks at least once a quarter to ensure that you're observing this restriction.

Thank you for your co-operation.

[signature]

# **Note:** The above letter is from Inland Revenue's (IR) "Fringe benefit tax guide" ([IR 409](#), March 2018). The reference to quarterly checks is not required by law but is seen by IR as best practice.

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Last reviewed on 30 September 2014

## FBT — Resolution to restrict vehicle use

[¶190-305]

[Click to open document in a browser](#)

### Resolution of directors of The Blue Dress Company

[Date]

The directors of The Blue Dress Company hereby resolve as follows:

That the Mazda 6 motor vehicle, registration number CJK889 owned by The Blue Dress Company is to be used for company business only and is strictly not available for the private use of any employee of this company.

Signed:

[Director]

[Director]

Source: Andrew Dickeson and Roger Thompson, *Fringe Benefits — A Practical Guide to Managing Your Tax Costs* (4th ed, CCH, 2013).

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Last reviewed on 30 September 2014

## FBT — Employee acknowledgment of company resolution

[¶90-310]

[Click to open document in a browser](#)

[Date]

Ange Herd and Reggie Herd hereby agree to abide by the terms of the resolution dated [ ] concerning the Mazda 6 CJK889.

Signed:

Ange Herd (Marketing Manager)

Reggie Herd (Office Hygienist)

Source: Andrew Dickeson and Roger Thompson, *Fringe Benefits — A Practical Guide to Managing Your Tax Costs* (4th ed, CCH, 2013).

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Last reviewed on 30 September 2014

# Subvention agreement

[¶90-400]

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DEED dated 20XX

## PARTIES

[Profit company name], a duly incorporated company registered in [place of incorporation] (the Paying Company)

[Loss company name], a duly incorporated company registered in [place of incorporation] (the Payee Company)

## INTRODUCTION

- A. For the 20XX income year (the year) the Paying Company and the Payee Company have been members of the same group of the companies as defined in s [IC 6](#) of the Income Tax Act 2007 (the Act).
- B. The Payee Company has [incurred a loss for income tax purposes during the year/has prior year losses incurred at times when the Paying Company and the Payee Company are included in the same group of companies] (the Losses).
- C. The Paying Company and the Payee Company have agreed to share in the Losses.

## OPERATIVE PROVISIONS

- 1. The Paying Company has agreed to pay to the Payee Company the sum of \$[amount of subvention payment] to share in the Losses of the Payee.
- 2. The payment referred to in clause 1 shall be paid by the Paying Company to the Payee Company by 31 March [the year following the income year to which the subvention payment relates].
- 3. The Paying Company and the Payee Company agree to meet any requirements imposed on either of them by s [IC 5](#) of the Act.

## SIGNED AS A DEED

[Paying Company]\*

.....

Director

.....

Director

Date

[Payee Company]\*

.....

Director

.....

Director

Date

**\* Note:** If there is only one director in the paying company or the payee company or the company constitution allows one director to sign any agreement, the sole director's signature must be witnessed. The witness must state his or her name, occupation and address when signing.

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Last reviewed on 30 September 2014

## Notice of loss offset election

[¶90-410]

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### Background

For the year/period ended 20XX [name of loss company] (the loss company) and [name of profit company] (the profit company) are a group of companies/wholly-owned group of companies as defined in s [IC 3](#) of the Income Tax Act 2007.

The loss company has losses carried forward/incurred a loss in the year/period ended 20XX of \$[amount of loss].

The profit company and the loss company elect to offset \$[amount of loss offset] between them for the year/period ended 20XX.

### Notice

In accordance with s [IC 9](#) of the Income Tax Act 2007, the loss company (IRD number [number]) elects to offset \$[amount of loss] against the net income of the profit company (IRD number [number]) for the year/period ended 20XX.

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Last reviewed on 30 September 2014

## Sliding value clause

[¶90-500]

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This [deed/agreement] is not intended to effect or include any gift from the Vendor to the Purchaser. If the value of the Property as at the date of this [deed/agreement] is determined by the Commissioner of Inland Revenue (the Commissioner) to be a sum different from the Price then:

- # the value so determined shall be substituted for the Price if the Vendor and Purchaser agree, or
- # either the Vendor or Purchaser may cancel this agreement by giving written notice to the other within 14 days of the Commissioner's determination; in which case neither the Vendor nor the Purchaser shall have any further obligation to the other under this [deed/agreement].

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Last reviewed on 30 September 2014

## Company dividend statement

[190-600]

[Click to open document in a browser](#)

[Company name]

[Company address]

### COMPANY DIVIDEND STATEMENT

**Dividend declared on:** [date]

**Dividend paid on:** [date]

**Number of shares** in respect of which dividend is declared or included in the bonus issue: [number of shares]

**Amount of net dividend paid or amount of bonus issue:** [amount of net dividend paid or amount of bonus issue]

**Imputation credits attached:** [amount of imputation credits attached (see Note 1)]

**Imputation ratio:** [imputation ratio (imputation credits attached divided by the net dividend paid) (see Note 2)]

**Note 1:** If no imputation credits have been attached a nil amount must be shown.

**Note 2:** If the dividend was paid in Australian currency by an Australian ICA company, the exchange rate between the New Zealand and Australian dollar used to calculate the imputation ratio must be provided.

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Last reviewed on 30 September 2014

## Shareholder dividend statement

[T190-605]

[Click to open document in a browser](#)

[Company name]

### SHAREHOLDER DIVIDEND STATEMENT

**Shareholder:** [name and address of shareholder]

**Dividend paid on:** [date of payment of dividend]

**Amount of dividend paid:** [amount of dividend paid to the shareholder]

**Resident withholding tax:** [amount of resident withholding tax withheld]

**Non-resident withholding tax:** [amount of non-resident withholding tax withheld]

**Imputation credit** (see Note): [amount of imputation credit attached to the dividend paid]

**Amount of dividend paid and imputation credit:** [sum of imputation credits and dividend paid]

**Exempt dividend** (for qualifying company): [portion of dividend paid that is exempt from tax]

**Taxable dividend** (for qualifying company): [portion of dividend paid that is taxable]

**Note:** If the company is an Australian imputation credit account company, the term "New Zealand imputation credit" must be used.

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